

Understanding How the Financial Advisory Profession Works

With the value provided by good financial decision-making and the impediments people face to achieve good financial outcomes for themselves, it is worthwhile discussing more about the advisory profession. How can you find a good advisor?

Though the financial services profession is highly regulated at both the state and national levels, use of the terms *financial advisor* or *financial planner* as job titles is hardly regulated. Regulation generally focuses on the nature of business activities rather than job titles. Pretty much anyone can use these terms without any further oversight about training, competency, education, or qualifications.

Generally, those calling themselves financial planners or advisors represent one of three types: registered investment advisors, stock brokers, or insurance agents.

Of the three types, investment advisors are the only ones required to serve as fiduciaries for their clients, at least when they are wearing their “investment advisor” hat. The fiduciary standard of care requires investment advisors to act in the best interests of clients and disclose any material conflicts of interest to clients for the advice they provide. Fiduciary advisors who serve only as fiduciary advisors are generally part of registered investment advisor (RIA) firms, and they often use the term *fee only* to differentiate themselves from competitors. The National Association for Personal Financial Advisors (NAPFA) is the membership organization for fee-only advisors. A fee-only advisor is paid directly and only by his or her clients, generally as a percentage of assets the advisor manages. That percentage generally decreases as the account size increases. Fees usually cover financial planning advice and investment management.

Some fee-only advisors may have different fee structures. Other possibilities include an hourly charge or fixed retainer fees for services. With other fee arrangements, the advisor is less likely to make trades on the